include corporate executives, lawyers with large regional firms, certified public accountants with large CPA firms, medical and dental non-surgeons, individuals with inherited wealth, small business owners who inherited the business, politicians, bankers, and journalists. The smaller the economic resources an investor has, the more likely the person is to be a passive investor. The lack of resources gives individuals a higher security need and a lower tolerance for risk. Thus, a large percentage of the middle and lower socioeconomic classes are passive investors as well.

"Active investors" are defined as those individuals who have earned their own wealth in their lifetimes. They have been actively involved in the wealth creation, and they have risked their own capital in achieving their wealth objectives. Active investors have a higher tolerance for risk than they have need for security. Related to their high risk tolerance is the fact that active investors prefer to maintain control of their own investments. If they become involved in an aggressive investment of which they are not in control, their risk tolerance drops quickly. Their tolerance for risk is high because they believe in themselves. They get very involved in their own investments to the point that they gather tremendous amounts of information about the investments and tend to drive their investment managers crazy. By their involvement and control, they feel that they reduce risk to an acceptable level.[17]

Barnewall's work suggests that a simple, noninvasive overview of an investor's personal history and career record could signal potential pitfalls to guard against in establishing an advisory relationship. Her analysis also indicates that a quick, biographic glance at a client could provide an important context for portfolio design.

Bailard, Biehl, and Kaiser Five-Way Model

The Bailard, Biehl, and Kaiser (BB&K) model features some principles of the Barnewall model; but by classifying investor personalities along two axes—level of confidence and method of action—it introduces an additional dimension of analysis. Thomas Bailard, David Biehl, and Ronald Kaiser provided a graphic representation of their model (Figure 2.5) and explain:

The first aspect of personality deals with how confidently the investor approaches life, regardless of whether it is his approach to his career, his health, his money. These are important emotional